



The Morning Brief

MAY 19, 2026

Strike Paused

Trump postponed Tuesday's planned Iran strike at the request of Saudi, Qatar, and UAE leaders as the NEE-Dominion combination was formally announced; Wednesday's NVDA print and the first Warsh-era FOMC minutes still anchor the back half of the week.

S&P 500 (MON)	NEE (MON CLOSE)	ENERGY (XLE)	IBIT · ETHA	FEAR & GREED
\$738.65 · ↓0.07%	\$89.04 · ↓4.63% on deal	+1.92% · Top Sector	↓2.88% · ↓4.53%	25 · Extreme Fear

SECTION 01

Markets — Tuesday Open

TRUMP POSTPONED TUESDAY’S PLANNED IRAN STRIKE AT THE REQUEST OF SAUDI, QATARI, AND UAE LEADERS AS OIL REVERSED FROM ITS SESSION HIGHS AND THE TAPE CLOSED MIXED — THE DIPLOMATIC WINDOW THE PRIOR BRIEFS FLAGGED AS NARROWING HAS AT LEAST TEMPORARILY REOPENED

The dominant narrative shift overnight is the postponement of the strike framing carried through Monday’s open. Per CNBC, Axios, and CNN reporting, Trump confirmed Monday afternoon he had been asked by Saudi Crown Prince Mohammed bin Salman, Qatari Emir Tamim bin Hamad Al Thani, and UAE President Mohammed bin Zayed to put off the planned Tuesday strike for two or three days while diplomatic channels work toward a deal. Trump characterized the postponement as potentially permanent if a deal materializes but acknowledged it could prove temporary, while directing Defense Secretary Hegseth and Joint Chiefs Chairman Cain to remain prepared to proceed on a moment’s notice. Oil reversed from its session highs — per Reuters via the data drop headlines, shares wobbled and bonds steadied as oil eased on Trump’s Iran comments; BNO closed approximately flat at \$57.65 (–0.07%) and USO advanced 0.72% to \$149.29 per the data drop after an intraday spike attributed to the weekend UAE nuclear-plant incident and Saudi drone intercepts. The S&P 500 ETF closed nearly unchanged at \$738.65 (–0.07%) with the Dow +0.33% and Nasdaq –0.43%, UVXY (VIX proxy) eased –2.71%, and breadth rotated toward defensives and energy — XLE +1.92% led, XLP +1.49% and XLF +1.25% followed, while XLK lagged at –1.08%.

S&P 500 · DOW · NASDAQ	\$738.65 ↓0.07% · \$497.01 ↑0.33% · \$705.88 ↓0.43%
IRAN STRIKE · POSTURE	Tuesday strike postponed at Gulf-leader request per CNBC/Axios · Military on moment's notice per Trump
OIL (MON)	USO ↑0.72% · BNO −0.07% · Intraday reversal from session highs per Reuters headlines
SECTOR BREADTH	XLE ↑1.92% · XLP ↑1.49% · XLF ↑1.25% · XLK − 1.08% (lagged)
VOLATILITY · SENTIMENT	UVXY −2.71% · Fear & Greed 25 (Extreme Fear, from 28 Mon brief)
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested (Mon low \$733.39 — mid-teens percent above)

THE NEE-DOMINION COMBINATION WAS FORMALLY ANNOUNCED MONDAY AT APPROXIMATELY \$66.8 BILLION IN ALL-STOCK CONSIDERATION WITH A 0.8138 EXCHANGE RATIO — NEE SHARES CLOSED −4.63% ON DEAL-SIZE CONCERNS EVEN AS DOMINION RALLIED SHARPLY

Per the joint press release distributed via BusinessWire on May 18 and follow-on coverage from CNBC, Reuters, and Stocktitan, NextEra Energy and Dominion Energy announced a definitive all-stock combination valuing the equity component at approximately \$66.8 billion. Dominion share-

holders will receive a fixed exchange ratio of 0.8138 NEE shares per Dominion share, with NEE shareholders holding approximately 74.5% and Dominion holders approximately 25.5% of the combined company at close. The combined entity will operate under the NextEra Energy name on the NYSE under ticker NEE, will serve approximately 10 million utility customer accounts across Florida, Virginia, North Carolina, and South Carolina, and will own approximately 110 gigawatts of generation. Closing is targeted at 12 to 18 months subject to Hart-Scott-Rodino, FERC, NRC, and state regulatory approvals and shareholder votes per the joint release. NEE closed Monday at \$89.04 (−4.63%) per the data drop, with the price action attributed by TradingKey and ad-hoc-news.de coverage to investor concerns around transaction size, balance-sheet absorption, and capital-allocation implications; Dominion shares rallied sharply on the announcement per Quiver Quantitative and Stocktwits coverage. The strategic logic, per Wedbush coverage referenced in the data drop, anchors on the Virginia data-center corridor — for the IOWN dividend sleeve and the broader “physical world matters” thesis, the announcement is the most concrete articulation to date of the AI-power infrastructure supercycle.

The diplomatic pause and the deal announcement are the two material developments — the structural energy positioning captured Monday's rotation, and the dividend sleeve's most strategic AI-utility holding is now the buyer in a \$67 billion combination rather than the rumor. Research Reveals Opportunities.

Geopolitics

THE TUESDAY STRIKE WAS POSTPONED AT THE EXPLICIT REQUEST OF SAUDI ARABIA, QATAR, AND THE UAE WITH TRUMP CITING ACTIVE NEGOTIATIONS TOWARD A DEAL — IRAN'S LATEST PEACE PROPOSAL REPORTEDLY INCLUDES REPARATIONS FOR WAR DAMAGE AND A US TROOP WITHDRAWAL, WHILE THE PENTAGON REMAINS ON MOMENT'S-NOTICE POSTURE

The weekend's widening operational picture has been at least temporarily overlaid by a diplomatic posture shift. Per CNBC, Axios, and CNN reporting, Trump confirmed Monday afternoon that Saudi Crown Prince Mohammed bin Salman, Qatari Emir Tamim bin Hamad Al Thani, and UAE President Mohammed bin Zayed each asked him to delay the planned Tuesday strike for two or three days because, in Trump's characterization, they believed they were getting close to a deal that would prevent Iran from acquiring a nuclear weapon. Per Reuters reporting referenced in the data drop headlines, Iran's latest peace proposal reportedly includes reparations for war damage and a US troop withdrawal; a separate Reuters headline carried by the data drop notes Indian shares rose after Trump signaled a possible nuclear deal with Iran. The Pentagon under Defense Secretary Hegseth and Joint Chiefs Chairman Cain remains on moment's-notice posture per Trump's same statement — the postponement is conditional rather than a settlement. If taken at face value, the proposed terms are not yet aligned with the long-stated US position on Iran's nuclear and ballistic-missile programs per the Congressional Research Service summary referenced in prior briefs; whether the Gulf-mediated track can compress those gaps inside the requested two-to-three-day window is the proximate variable.

ENERGY CAPTURED MONDAY'S ROTATION EVEN AS OIL EASED INTO THE CLOSE — CVX, VLO, AND OKE OUTPERFORMED AND THE XLE WAS THE TOP SECTOR, REINFORCING THAT THE STRUCTURAL PHYSICAL-SUPPLY THESIS DOES NOT REQUIRE AN ESCALATION PATH

The IOWN energy sleeve was bid Monday despite the directional intraday reversal in crude: per the data drop, CVX +2.63% to \$196.12, VLO +3.10% to \$258.52, OKE +1.56% to \$93.76, and XLE +1.92% led all sectors at the close. CNX added 1.30% to \$36.56. The Chevron move sits inside the same week in which Chevron's CEO publicly characterized physical oil shortages as beginning to materialize per The Motley Fool coverage referenced in the search returns. Per Reuters via the data drop headlines, Indian retailers separately raised fuel prices again in response to the Iran war — the physical-supply tightening continues regardless of whether the diplomatic track holds. Defense exposure via LMT and GD provided the orthogonal hedge: LMT +2.38% to \$528.31, GD +2.57% to \$343.11. The dividend sleeve's CTRA was the outlier (−8.62% to \$32.56) and remains the energy-sleeve name that does not align cleanly with the physical-supply asymmetry; if the pause holds and the bid

moderates further the rotation could compress. The structural read is that the IOWN energy positioning continues to function as both the geopolitical hedge and the standalone tightening trade.

IRAN STRIKE · POSTURE	Tuesday strike postponed per Trump statement · Saudi, Qatar, UAE requested 2–3 day pause per CNBC/Axios/CNN
IRAN PROPOSAL TERMS	Reparations for war damage · US troop withdrawal per Reuters via data drop headlines
PENTAGON POSTURE	Hegseth/Cain on moment's-notice posture per Trump statement · Postponement is conditional
OIL · MON CLOSE	USO ↑0.72% · BNO −0.07% · Intraday reversal off session highs per Reuters headlines
IOWN ENERGY SLEEVE (MON)	CVX ↑2.63% · VLO ↑3.10% · OKE ↑1.56% · XLE ↑1.92% (top sector)
IOWN DEFENSE SLEEVE (MON)	LMT ↑2.38% · GD ↑2.57%
ENERGY OUTLIER	CTRA −8.62% · Only energy-sleeve name not aligned cleanly with physical-supply asymmetry

On Our Radar

1. NEE–Dominion was formally announced Monday at approximately \$66.8 billion in all-stock consideration with a 0.8138 exchange ratio — this is the largest articulation to date of the physical-AI infrastructure thesis and reshapes the IOWN dividend sleeve’s most strategic AI-utility holding. Per the joint May 18 BusinessWire release and follow-on coverage from CNBC, Reuters, Stocktitan, and Yahoo Finance, NextEra Energy and Dominion Energy announced a definitive all-stock combination with NEE shareholders holding approximately 74.5% and Dominion holders 25.5% of the combined entity at close. The combined company will trade as NEE, serve approximately 10 million utility customer accounts across Florida, Virginia, North Carolina, and South Carolina, and own approximately 110 gigawatts of generation. The closing is targeted at 12 to 18 months subject to Hart-Scott-Rodino, FERC, NRC, and state regulatory approvals. NEE closed Monday at \$89.04 (–4.63%) on transaction-size concerns per TradingKey coverage; Dominion shares rallied sharply per Quiver Quantitative. Per Wedbush coverage referenced in the data drop holdings news, the deal reinforces the power-infrastructure supercycle thesis. The strategic logic anchors on Virginia’s data-center corridor, which is widely described as the country’s primary AI-power demand center. For the IOWN framework, this is the dividend sleeve’s pivot from a Florida-renewables-plus-nuclear utility to the country’s largest regulated electric utility business positioned at the center of the AI build-out. *Think Like an Owner.*

2. Wednesday’s NVDA print and the Warsh-era FOMC minutes still anchor the back half of the week — consensus is approximately \$78–\$79 billion in revenue and approximately \$1.77–\$1.78 EPS, with the data-center line and Q2 guidance the variables that historically move the after-hours tape. Per S&P Global, heygotrade, TradingKey, Morningstar, Seeking Alpha, and The Motley Fool consensus aggregations, NVDA fiscal Q1’27 looks for approximately \$78–\$79.2 billion in revenue, approximately \$1.77–\$1.78 EPS, and data-center revenue in the \$65–\$73 billion range, with some shops higher. Q2 guidance is the variable — per The Motley Fool, consensus expectations cluster around \$85–\$87 billion. NVDA closed Monday at \$222.32 (–1.33%) per the data drop, off the prior week’s record print on the H200 approval headline; per The Motley Fool coverage, prediction markets have priced the beat probability near 97%, meaning the bar to surprise upward is structurally elevated. The same Wednesday session releases the FOMC minutes at 1:00 PM CT per the Fed calendar — the first release under Kevin Warsh’s chairmanship per CNBC, capturing Powell’s final meeting with three dissents on record. Per CME FedWatch coverage referenced in prior briefs, futures markets now price a meaningful tail of hike risk rather than cut risk over the coming meetings. ADI also prints pre-market Wednesday per Stocktitan — the IOWN dividend-sleeve read-through on industrial and auto-semi demand. *Research Reveals Opportunities.*

3. Two IOWN names report after the close today — TOL (consensus ~\$2.59 EPS per the data drop) reads on the rate-sensitive housing complex, and KEYS (consensus ~\$2.37 EPS) reads on test-and-measurement demand running through semis and comms; Home Depot prints pre-market as a non-IOWN sentiment read on the housing tape. Per the data drop earnings calendar, IOWN holdings TOL and KEYS both report Tuesday after the close, with TOL at approximately \$2.59 EPS consensus and KEYS at approximately \$2.37. TOL closed Monday at \$126.97 (+0.59%) per the data drop, holding up modestly into the print despite the broader rate-sensitivity question; the company's order book and incentive-load commentary on the call is what the housing-sleeve framework will parse. KEYS closed Monday at \$340.48 (-2.44%) per the data drop as the broader tech complex (XLK -1.08%) lagged; the read-through to MRVL, ADI, and the broader physical-AI semi block depends on KEYS' commentary on AI-infrastructure test demand. Home Depot reports pre-market today per third-party coverage — a non-IOWN holding but a meaningful sentiment read on the housing tape that bears on TOL's setup. *Avoid Erosion.*

4. The crypto sleeve continued to bleed despite the broader sentiment relief from the Iran pause — IBIT -2.88%, ETHA -4.53%, and the retail-direct exposure (COIN, MARA, HUT) all gave back; the divergence with the index level continued to widen. Per the data drop, IBIT closed at \$43.53 (-2.88%) and ETHA at \$16.00 (-4.53%) on Monday, with the retail-direct exposure inside the growth sleeve all weaker (COIN -3.06% to \$189.44, MARA -2.09%, HUT -6.12% to \$96.20). The Yahoo Finance coverage cited in the data drop characterized Bitcoin as at a two-week low with crypto liquidations topping \$600 million. Per Benzinga reporting referenced in the data drop, Harvard University's Q1 13F slashed its Bitcoin exposure by nearly half and exited its Ethereum ETF position entirely. The decoupling of the digital-asset sleeve from the diplomatic-pause relief tape is notable — the de-risking is at this point structural rather than headline-driven. *Avoid Erosion.*

5. Today's data calendar is light but Pending Home Sales at 2:00 PM CT and Fed Waller's 1:00 PM CT remarks frame the rate-sensitive setup ahead of Wednesday — Carson's active SPY \$645.80 support remains untested with Monday's low at \$733.39 even as Fear & Greed slid to 25 (Extreme Fear). Per the data drop economic calendar, Pending Home Sales lands at 2:00 PM CT (consensus 1.3 MoM versus prior 1.5; YoY prior -1.1) and Fed Governor Waller speaks at 1:00 PM CT, with Fed Paulson and Venable scheduled later in the evening. The Redbook YoY release at 12:55 PM CT and the API Crude Oil Stock Change after the close also matter for the rate and energy tape.

Carson's active SPY support at \$645.80 set on April 13 remains intact and untested — Monday's intraday low printed \$733.39 per the data drop, keeping the structural cushion at roughly the mid-teens percent above the level. The interesting cross-current is the sentiment read — Fear & Greed slid to 25 (Extreme Fear) from 28 (Fear) in yesterday's brief despite the Iran-strike postponement and the NEE-Dominion announcement, suggesting the index level and sentiment remain decoupled. **Simplicity Over Complexity.**